Public Policy 2024-2025 Mid-Term Exam (Online)

Friday, November 8, 2024, 10:00-11:00

The maximum score of the mid-term exam is 60 points.

The exam consists of 20 multiple-choice questions (worth three points each if answered correctly):

Exam Rules:

- The maximum duration of the exam is one hour. You may submit your responses whenever you are done.
- For each question, only one answer option (out of four) can be picked. You are asked to identify either the one wrong or the one correct statement.
- The exam is “open-book,” which means that you may use your notes regardless of the format (written, typed, in a notebook, on annotated slides, or a combination thereof). Moreover, Respondus will grant you access to e-learning and to the required readings.
- No other documentation is allowed.
- No electronic devices other than the computer on which you are writing the exam are allowed.
- The exam is *not* teamwork. During the exam, any communication with third persons, whether electronically or face-to-face, is strictly prohibited.

Good luck!!

1. The Rail Baltica project (RB) is estimated to yield a net benefit of 6.6 billion EUR. This implies that:
    a. RB is economically viable even after adjusting for equity concerns.
    b. RB is economically viable regardless of the unresolved governance issues in the project management.
    c. Building RB would result in a potential Pareto improvement, making it an efficient policy choice in terms of welfare.
    d. Building RB would result in a potential Pareto improvement, making it an efficient policy choice in terms of happiness.

2. What is not true of a utilitarian social welfare function (SWF)?
    a. It recommends policies that seek to enhance the rights of minorities.
    b. Social indifference curves derived from a utilitarian SWF always have a slope of -1.
    c. The utility of all individuals are given equal weight.
    d. It implies that transfers from the rich to the poor may increase total utility.

3. Which of the following statements about health literacy is incorrect?
    a. Higher levels of health literacy are suspected to mitigate the adverse effects of social inequities on health outcomes.
    b. Higher levels of health literacy are linked to better health outcomes, as individuals with strong health literacy skills are more likely to follow treatment plans and preventive measures.
    c. Policies designed to improve health literacy seek to realize both Pareto efficiency and social equity.
    d. Policies designed to improve health literacy are unlikely to be successful in a presidential democracy.

4. In which country's political system is strong interest group corporatism most likely to be found?
    a. United Kingdom
    b. Estonia
    c. Germany
    d. France

5. The main merit of the policy cycle model is that it:
    a. demonstrates that policy problems are persistent, evolve over time, and are never resolved completely.
    b. illustrates that the nonlinear nature of policy development allows for varied entry points in analysis without loss of coherence in understanding.
    c. does not fall under the institutional constraints of a state's polity.
    d. conceptualizes the distinct characteristics of each phase while highlighting the dynamic interdependencies among them.

6. What is not true of the liberal welfare state type?
    a. It typically emphasizes means-tested benefits aimed at the most economically disadvantaged groups.
    b. Social assistance programs tend to have strict eligibility requirements to encourage autonomy and self-reliance.

c. There is a strong focus on universal welfare benefits that minimize income inequality across the population.
d. Market mechanisms play a central role in the provision of social services.

7. If a policy is designed to reduce the number of families living below the poverty line, one might expect:
   a. that policy-makers are more concerned with efficiency than with equity.
   b. that policy-makers reject Rawls's Difference Principle.
   c. a short-term reduction in public spending, as fewer families will require financial assistance.
   d. that people just below the poverty line are a more likely going to be the policy target than the very poor.

8. In the advocacy-coalition framework, the role of policy brokers is distinct from coalition actors because:
   a. policy brokers cannot be political parties.
   b. policy brokers typically seek compromise between opposing coalitions to maintain subsystem stability.
   c. policy brokers act independently of coalitions, leveraging their informational or reputational advantages to advance one coalition's goals.
   d. policy brokers typically aren't constant affiliates in the sub-system.

9. What is the main implication of Allison's (1971) paradigm of bureaucratic politics?
   a. Increased awareness of pervasive principle-agent problems in the relations between ministers and civil servants.
   b. Evidence that Max Weber's ideal type of the bureaucracy is not applicable to US policymaking.
   c. Evidence that principle-agent problems can exacerbate corruption in the public sector.
   d. Near-universal consensus that firm-level management is incompatible with public sector management, and that there is little the latter can learn from the former.

10. John Rawls's Difference Principle:
    a. has its origins in utilitarianism.
    b. presupposes that boundedly rational individuals are very risk-prone.
    c. can be represented using L-shaped social indifference curves.
    d. dominates the principle of equal basic liberties.

11. Which of the following statements <u>incorrectly</u> describes the impact of globalization on national civil services?
    a. Globalization requires civil servants to navigate a complex balance between enforcing international norms and protecting national sovereignty.
    b. Supranational bodies like the EU restrict the autonomy of national agencies, often sidelining their involvement in global policy-making.
    c. Increasing global challenges, such as climate change and economic crises, have expanded the role of national civil servants beyond traditional domestic issues.

d. National civil services must now incorporate global benchmarks and norms, which influence domestic policy frameworks and administrative practices.

12. Which of the following statements about secondment in international organizations is incorrect?
    a. Secondment allows national civil servants to gain valuable insights into supranational policy processes, which they can apply upon returning to their home institutions.
    b. Secondment is often used by organizations like the EU to strengthen ties between national and supranational administrations, integrating expertise from diverse national contexts.
    c. National administrations frequently leverage the skills and networks developed by seconded officials to enhance their own policy capabilities upon their return.
    d. For many civil servants, secondment is a one-way exchange, where skills gained in international settings are undervalued or underutilized in their home agencies.

13. Which is not a typical feature of the Consensus Model of democracy?
    a. Top-level bureaucrats are politically appointed and are often replaced when a new government comes in.
    b. Bicameralism.
    c. High levels of electoral disproportionality.
    d. Independent central banks.

14. Contemporary economists commonly define welfare as preference satisfaction. Why is that?
    a. Preference satisfaction is straightforward to measure through market behavior, as consumer choice is always self-interested and based on fully informed beliefs.
    b. Preference satisfaction is an appealing metrics for welfare because it is evidence of people's choices based on their own understanding of what will make them better off.
    c. Policy-makers have a strong need for objective metrics of happiness when they have to make decisions about the allocation of scarce resources.
    d. Preference satisfaction assumes that all individuals have the same utility function, and therefore measures welfare based on a basic set of goods and services desired by everyone.

15. Which policy move is most likely to result in a Pareto improvement?
    a. Building an airport with an estimated economic net benefit of EUR 500 million.
    b. Boosting private investment by imposing a tax on the profits of banks who fail to meet government-set lending targets.
    c. Eliminating tariffs on Chinese imports.
    d. Replacing the system of agricultural subsidies with a system of income supplements for poor farmers.

16. Which of the following best describes the meaning of the term ‘policy-based evidence-making’?
    a. Developing a comprehensive evidence base through independent research to shape policies aimed at solving social problems.
    b. Selecting or interpreting data to justify pre-existing policy preferences, often ignoring contradictory evidence.
    c. Conducting policy evaluations to determine whether implemented programs meet their initial goals.
    d. Reforming university programs and adjusting their scientific priorities based on the demands from public policy.

17. What is not true of institutions?
    a. Institutions establish formal and informal rules that help reduce uncertainty and facilitate coordination among individuals.
    b. Institutional rules may constrain or facilitate the dynamics within a policy subsystem.
    c. The competitive market is an institution.
    d. Institutions are inherently adaptable and change quickly in response to short-term political shifts.

18. The New Public Management (NPM) approach focuses on:
    a. enhancing transparency and reducing layers of bureaucracy to improve public trust.
    b. prioritizing public engagement in decision-making to achieve policy consensus.
    c. maximizing performance and accountability through results-based management.
    d. fostering a hierarchical, rule-based approach for clear organizational roles.

19. Which statement best captures the difference between "governance" and "government"?
    a. The metaphor often used to characterize governance is “rowing, not steering.”
    b. Government primarily handles the execution of laws, while governance is concerned solely with creating policy.
    c. Government refers to policy-making according to Weber’s legal-rational type of legitmacy, while governance is associated with the New Public Management approach.
    d. Unlike government, governance includes both formal institutions and informal actor networks, prioritizing non-hierarchical approaches to influence behavior.

20. Which knowledge regime offers the least favorable conditions for experts and think tanks to influence policy?
    a. The statist-technocratic knowledge regime.
    b. The politically tempered knowledge regime.
    c. The market-oriented knowledge regime.
    d. The consensus-oriented knowledge regime.